AAVIN MEZZANINE FUND, LP

ANNUAL CONFERENCE CALL – Thursday, April 20, 2017 10:00 a.m.

Review of 2016 and Expectations for 2017

AGENDA

- Greetings
- 2016 Review
  - Financial Overview
  - Portfolio
  - Deal Flow
  - Successes/Challenges
- 2017 Expectations
  - Investments
  - Capital Calls/SBA Leverage
- Questions/Answers

2016 Financial Overview

AAVIN Mezzanine Fund, LP

Balance Sheet as of December 31,

	2016	2015
Assets:		
Investments at value determined by General Partner; cost of $16,912,131 and $3,410,922 (Notes 1 and 2)	$ 16,912,131	$ 3,410,922
Cash and cash equivalents	1,169,425	95,630
Accrued interest receivable, net of reserve for loss account of $34,284 and $-0- (Notes 1 and 2)	121,469	5,996
Deferred financing costs, net of accumulated amortization of $92,384 and $37,118 (Note 3)	342,656	224,413
Total assets	$ 18,545,681	$ 3,736,961
Liabilities:		
SBA debenture securities (Note 3)	$ 9,680,000	$ 2,525,000
Accounts payable (Note 5)	12,375	17,452
Due to affiliate (Note 4)	408,916	307,242
Accrued interest payable (Note 3)	72,720	8,774
Total liabilities	10,174,011	2,858,468
Partners' capital		
Contributed capital	10,871,201	2,588,381
Syndication costs (Note 5)	(41,632)	(41,632)
Retained deficit	(2,457,899)	(1,668,256)
Total partners' capital	8,371,670	878,493
Total liabilities and partners' capital	$ 18,545,681	$ 3,736,961

Excerpt from Audited Financials.

2016 FINANCIAL OVERVIEW

AAVIN Mezzanine Fund, LP
Statement of Operations
For the year ended December 31,

	2016	2015
Investment income:		
Interest income (Note 2)	$ 764,875	$ 65,632
Other income from flow thru entities	19,910	-
Total investment income	784,785	65,632
Expenses:		
Investment management fee, net (Note 4)	1,230,303	1,416,075
Interest (Notes 3 and 6)	144,113	14,257
Auditing and examination fees	20,893	10,260
Appraisal and investigation costs	18,202	-
Advisors cost	3,000	-
Communications	-	62
Insurance	9,860	9,965
Legal fees	78,467	24,213
Taxes	192	508
Travel	12,606	9,772
Amortization (Note 3)	55,266	37,118
Bank service charge	30	40
Dues	1,293	415
Other	203	566
Total expenses	1,574,428	1,523,251
Net loss	$ (789,643)	$ (1,457,619)

Excerpt from Audited Financials.

AAVIN MEZZANINE FUND

PORTFOLIO INVESTMENTS

AAVIN Mezzanine Fund, LP

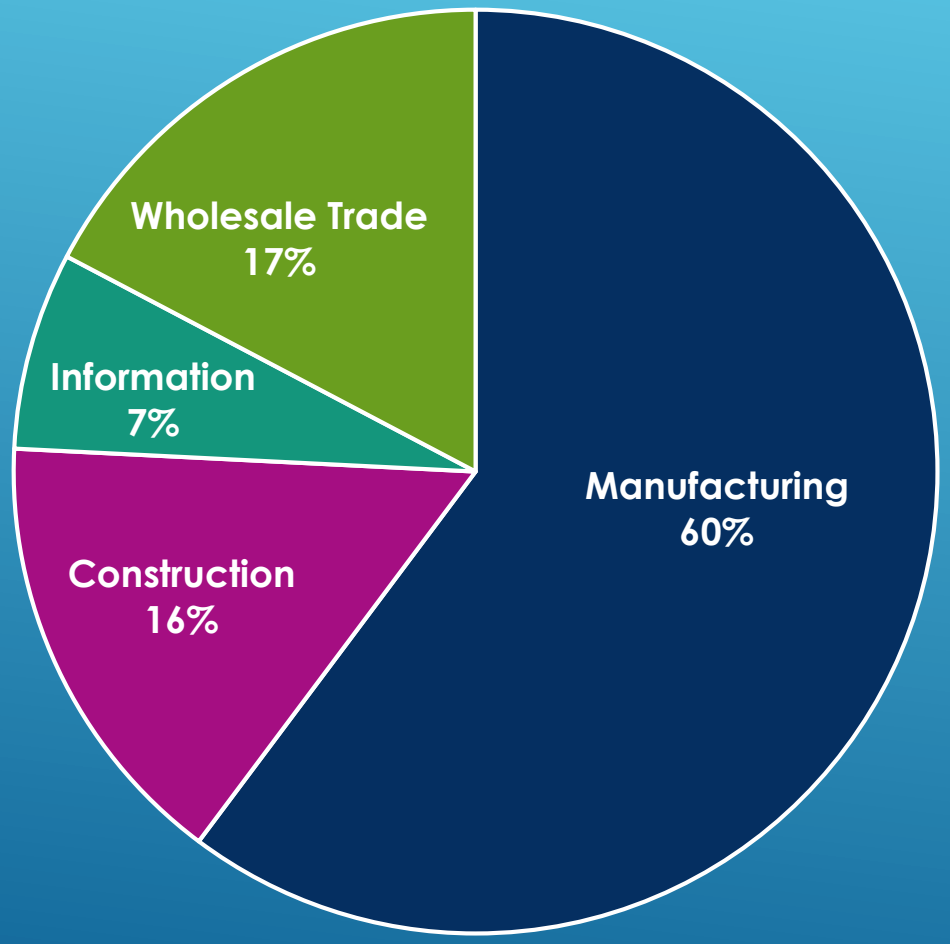
Invested Cost and Proceeds by Investment
Inception through April 15, 2017

Company	Initial Investment Date	Invested Cost	Realized Proceeds
B12 Transportation Group, LLC	12/7/2015	$ 1,636,032	$ 173,885
CPI Luxury Group	6/30/2016	3,554,811	3,086,170
Montana Silversmiths Holdings, LLC	10/27/2016	2,133,000	461,311
Odessa AIM Holdings, Inc.	8/31/2016	3,199,329	338,691
SPI Acquisition Holdings Inc.	12/27/2016	3,448,350	169,298
Transfer Tool Holdings, LLC	8/10/2015	1,965,203	225,706
Verrex, LLC	7/20/2016	1,421,924	105,212
Weeks Service Company	3/10/2017	3,200,000	64,000
		$ 20,558,649	$ 4,624,273

Geography of Portfolio

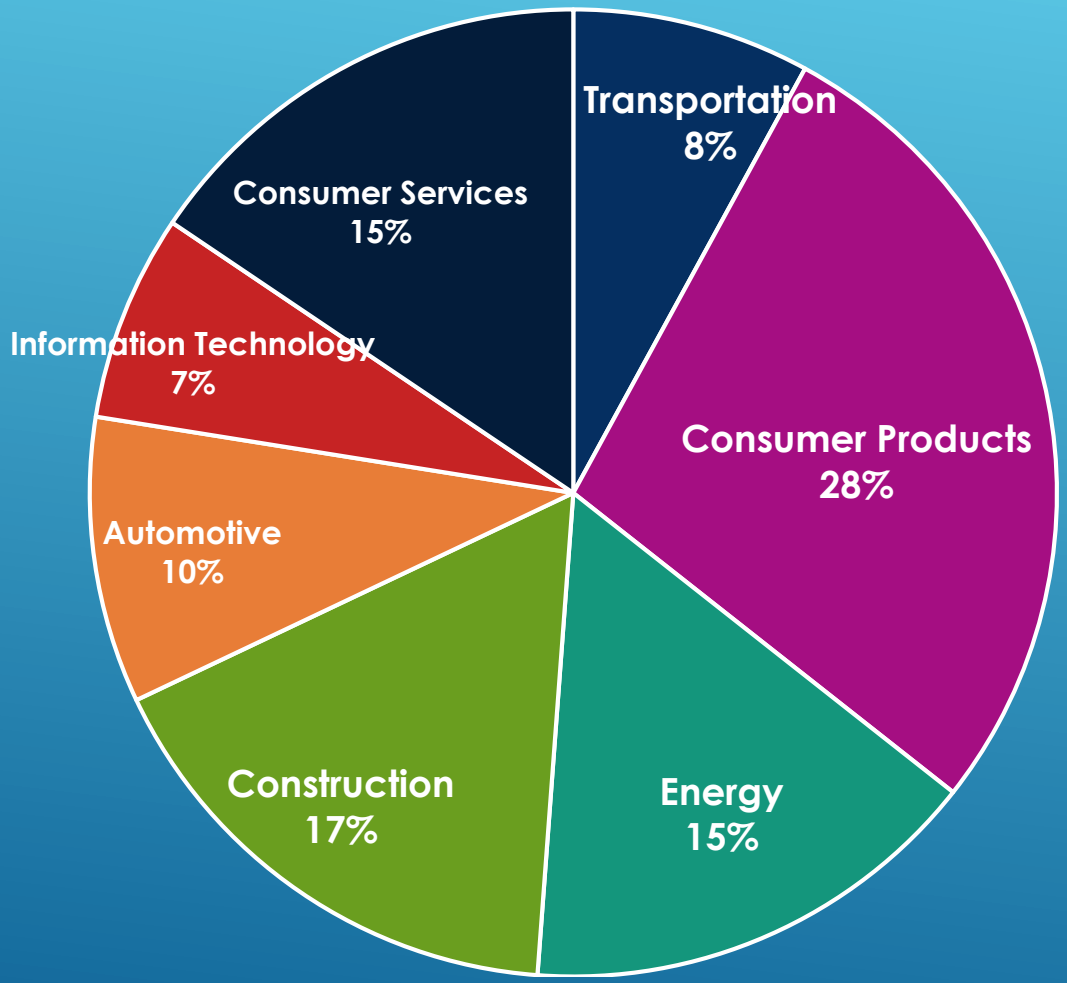
Portfolio Industries

% Dollars Invested by NAICS Industry Code



Portfolio by Sector

% Dollars Invested by Sector



B12 TRANSPORTATION GROUP LLC

Brown Industries develops and manufacturers top quality van bodies, trailers, rail equipment and custom vehicles for customers throughout North America. The Company's products include flatbeds, dry freight cargo bodies, plumber trucks cargo bodies, parcel vans, curtainside cargo bodies, and custom-sized buses. Brown Industries buses vary in design and size, and can accommodate anywhere from 10 to 32 passengers with most fitted for lift and wheelchair options.

Investment Date: December 2015

Headquarters: Lawrence, KS

Website: www.bcvi.com

CARGO VAN

RAIL EQUIPMENT

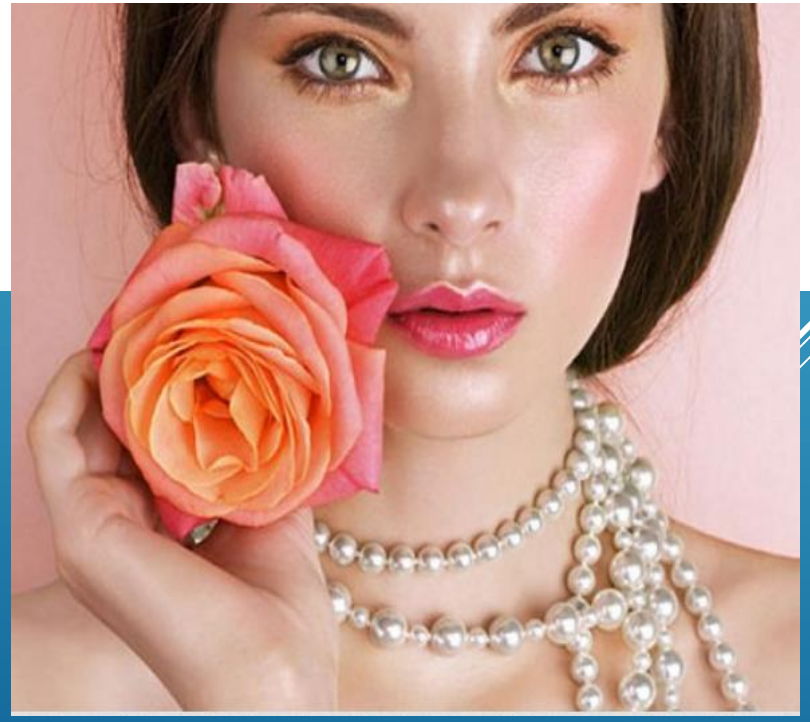
CPI LUXURY GROUP

CPI Luxury Group imports and wholesales pearls and other related jewelry products. The Company purchases freshwater pearls direct from farmers in China, has the pearls processed in Hong Kong, and imports the pearl strings to the United States. CPI Luxury Group is the primary pearl provider to a number of large national retailers, including Macy's, JC Penney, Fred Meyer, Helzberg and Kohl's.

Investment Date: June 2016

Headquarters: Los Angeles, CA

Website: www.cpilg.com



MONTANA SILVERSMITHS HOLDINGS LLC

Montana Silversmiths is the largest supplier of western buckles and jewelry. The Company reflects its western heritage in all of its products which include buckles, trophies, earings, bracelets, necklaces, watches and rings. Montana Silversmith is the buckle manufacturer of choice for many western events and related associations, and the Company is involved in many sponsorships including the FFA, AQHA, PBR, PRCA and many others.

MONTANA® SILVERSMITHS

Investment Date: October 2016

Headquarters: Columbus, MT

Website: www.montanasilversmiths.com

JEWELRY

CUSTOM BUCKLES

BUCKLES

ODESSA AIM HOLDINGS INC

AIM is a specialty manufacturer of machined parts and components for industrial engines and compressors serving companies with natural gas processing facilities in the Permian Basin. The Company provides its services to owners of midstream natural gas compression systems whose need for repair is often unplanned and urgent. AIM has a widely regarded reputation for being highly responsive with its 365 day 24/7 services.

Investment Date: August 2016

Headquarters: Odessa, TX

Website: www.aimodessa.com

Machine Services

Connecting Rods

Cylinder Head Service

SPI ACQUISITIONS INC

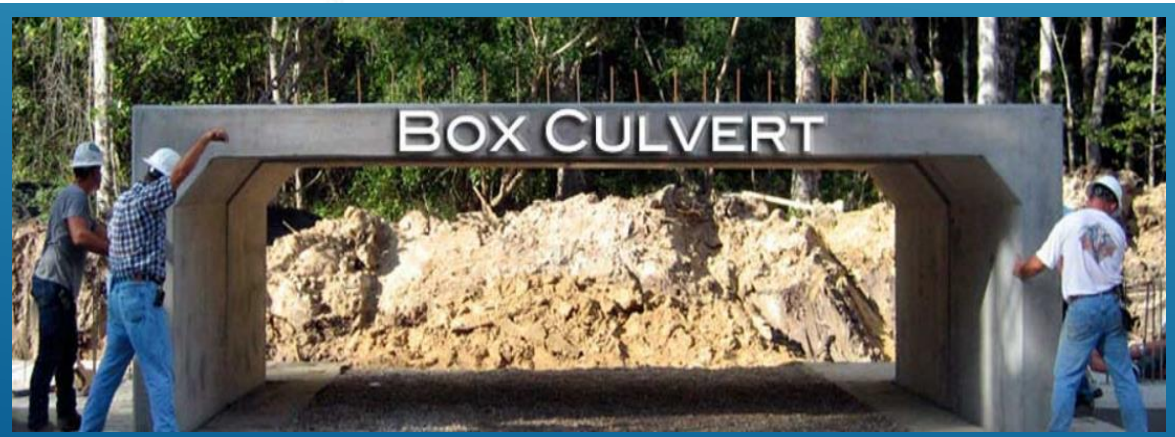
SPI manufactures complex precast concrete products that are used as infastructure in water disposal and treatment construction projects. The Company's main products are box culverts, manholes and inlets which assist in the collection and transportation of water and wastewater.

Investment Date: December 2016

Headquarters: Jacksonville, FL

Website: standardprecast.com

STANDARD PRECAST INC.



TRANSFER TOOL HOLDINGS LLC

Transfer Tool develops and manufacturers deep-drawn metal stampings. The company specializes in high-volume production of small custom parts up to 10" in diameter in steel, stainless steel, brass, aluminum, and other metal alloys. In addition to manufacturing, Transfer Tool also provides services of cleaning, plating, rust inhibiting, deburring/vibratory, heat treating and machining.

Investment Date: August 2015

Headquarters: Grand Haven, MI

Website: www.transfertool.com

The deep-drawn process uses transfer press technology to cold-form a blank into a pre-determined form. Transfer Tool uses deep-drawn stamping to produce parts from steel, stainless steel, brass, aluminum, and a variety of other alloys. Transfer Tool produces parts of up to 10" in diameter and in thicknesses ranging from less than 0.010" to greater than 0.1345".

WEEKS SERVICE COMPANY

Weeks Service Company, a Texas located Heating, Ventilation, Air Conditioning (HVAC) and Electrical services provider. Founded in 1972, Weeks Service Company has served over 50,000 local homeowners and businesses to date.

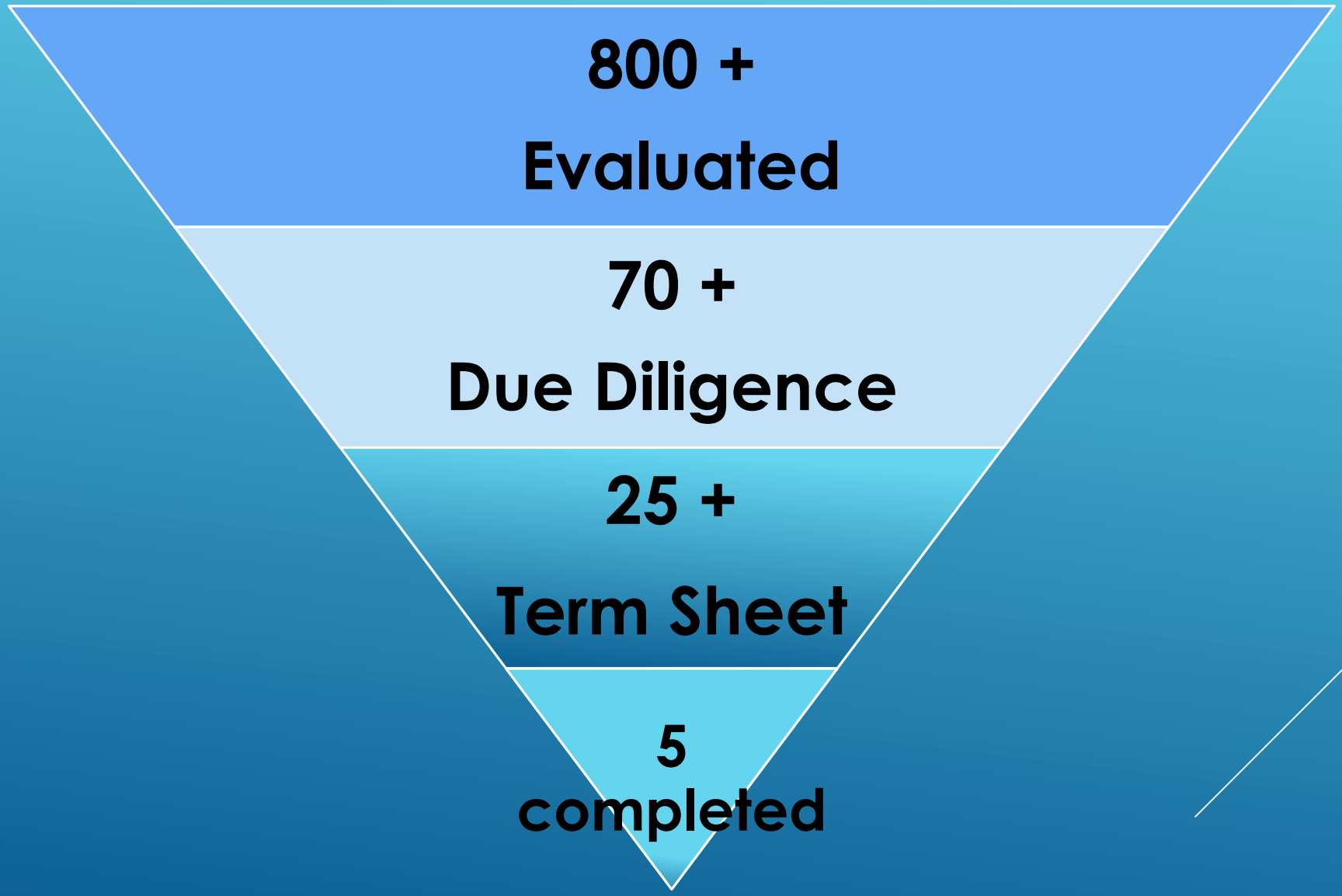
Investment Date: 3/10/17
Headquarters: League City, TX
Website http://www.weeks-service.com/

VERREX LLC

The company is a leader in audio/visual integration which is expected to have continuous growth as commercial adoption continues to increase. The company is a 70-year-old business with brand recognition both nationally and internationally.

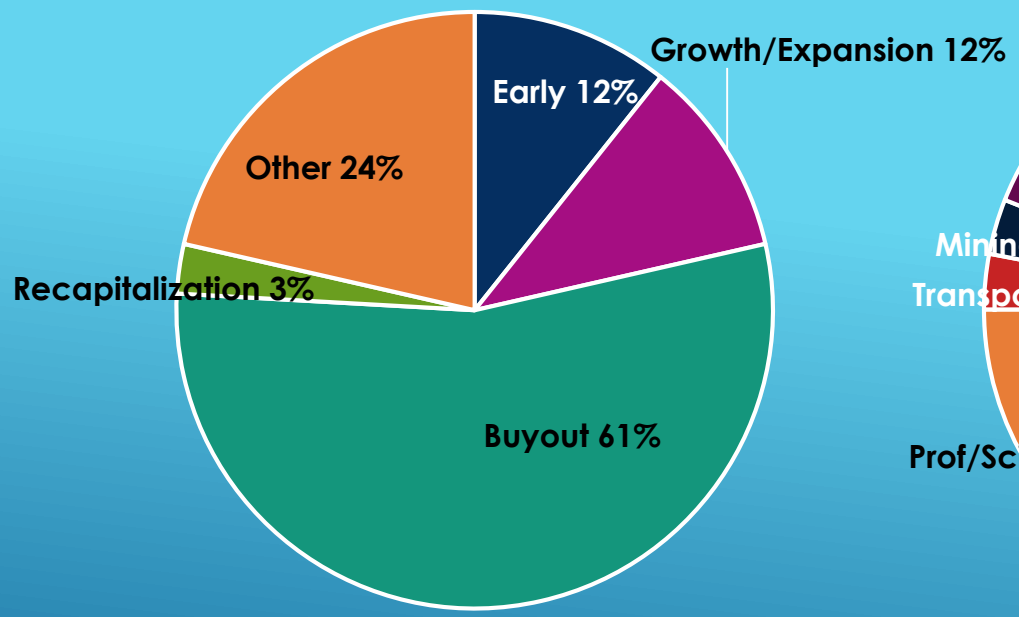
Investment Date: 7/20/16
Headquarters: Mountainside, New Jersey
Website http://www.verrex.com/

2016 Deal Flow

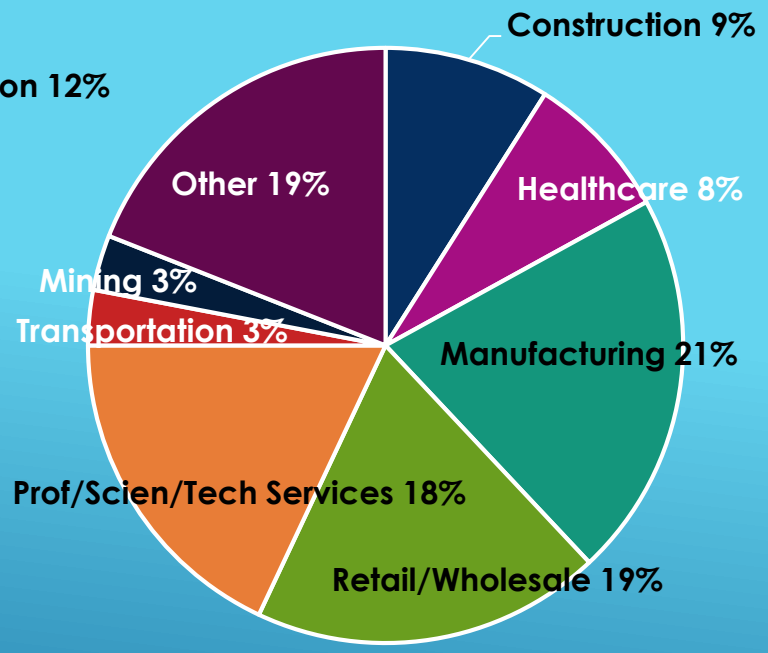


Characteristics of Deals Evaluated to Date

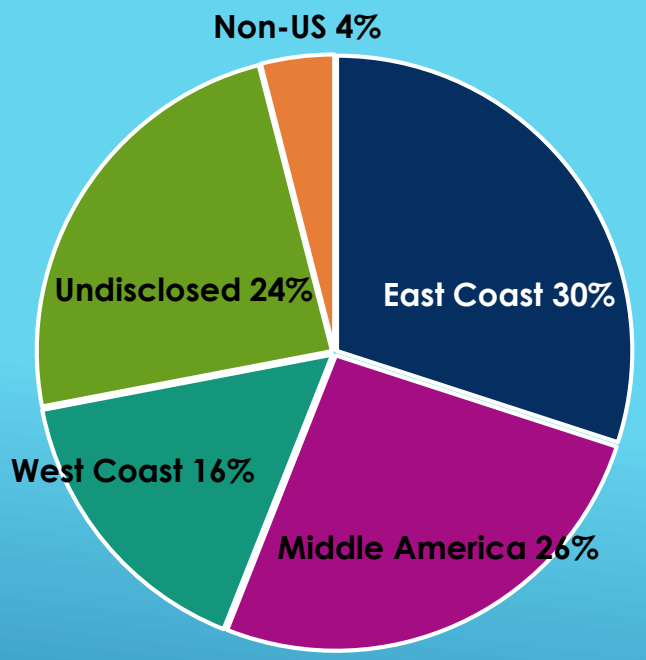
Stage



Industry



Region



2016 Accomplishments

- In 2016, five deals were completed and $19.5 M was deployed between two funds, AMF $13.9 and AEPII $5.6 (side fund). AEPII invests 28.9% along side AMF's 71.1% investment.

- During 2016 we continued to source high quality deals and make contacts to improve deal flow.

- Completed 2016 with two LOI's at year end, Weeks Service Company closed in March 2017 $4.5M (AMF - $3.2M, AEPII $1.6M), WASI is scheduled to close April 2017 totaling $4.8 M between both funds.

- Structured repayment of $3.7M (AMF $2.6, AEPII $1.4) of CPI debt in Jan 2017. Receiving pre-payment fees of $125K (AMF $89, AEP11 $36). These funds were redeployed in the Weeks transaction in Mar 2017.

- AMF broke even in the first quarter of 2017 as a result of the CPI pre-payment fees. We are projecting AMF breaking even on a recurring basis after an additional $9M is invested.

2016 Challenges

- Intense competition for later stage, lower middle market deals.
- Extended timing from LOI to close on smaller non-widely marketed transactions.
- Prices on auctioned deals bid up.

Remainder of 2017 Investing Expectations

FUND	Capital	Capital + Leverage	Anticipated Investments in 2017 *
AEP II	$ 25,252,525	$ 25,252,525	$ 4,797,688
AMF	20,707,050	62,120,000	11,803,310
	$ 45,959,575	$ 87,372,525	**$ 16,600,998**
		Average Investment	**$ 3,320,200**
		# Investments	**5**

* Assumes investment of 20% of investable capital in 2017.

2017 Expectations

AAVIN Mezzanine Fund, LP

Capital Calls/SBA Leverage

Total Anticipated Funding Need

$ 12,000,000

	Private Partner	
Commitments	$ 20,707,050	
Paid in Capital 12/31/16	(10,871,201)	52%
Unfunded Commitments	9,835,849	
Capital Calls - 2017 (3rd Qtr)	**$ 2,000,000**	*
% of Total Commitment	10%	

	SBA Leverage
Leverage	$ 41,410,000
Outstanding Leverage 12/31/16	(9,680,000)
Unfunded Leverage	31,730,000
SBA Leverage - 2017	**$ 10,000,000**

* Available SBA Leverage will be exhausted based on anticipated investments, therefore there may be an additional 10% call required near year end or early in 2018.

Questions/Answers